

Open banking makes game-changing ideas powerfully real

Conor Tiernan, UK & Ireland lead for Klarna Kosma, recently shared some of his thoughts on how open banking is changing the way that online businesses operate.

Open banking is making payments cheaper and faster, and enabling businesses to get better insights into customers' banking data to make better decisions.

Online businesses can take payments from customers in many ways. But some of them are quite costly. That's where being able to embed a pay-by-bank solution quickly and easily into your website can cut costs and get the funds to you sooner, meaning you can deliver goods or services quicker.

How businesses benefit from open banking

Let's say you're an insurance provider. To provide the best policies to your customers, you want to understand more about them. Letting them quickly and easily connect their bank account is a great way to do this. You can understand their spending history and get a clearer picture of their financial habits, which you can use to arrive at a quicker and better-informed decision. And that's good for customers too. As an insurer, you want to make sure that your customers always have the right amount of cover for their needs. With open banking, you can make this happen.

If it sounds too good to be true...

Of course, there are some challenges when it comes to implementing open banking. These are the big ones:

- **Going global.** When you start in your home market, it's relatively straightforward to connect to the banks. But it's a completely different ballgame

as soon as you step foot in the international market. You need to consider all the different countries and banks you need to connect with and there are additional licenses that you need to look at as well. It can be a huge headache.

- **Integration.** Integration is not necessarily too complex on a bank-by-bank basis, but there are potentially 6,000 banks that you need to connect with across the EU alone. That's where the integration side can get complex quickly.
- **Raw data.** Once you've built out your international strategy and integrated with all the banks you want to, now what? You've got a bunch of raw banking data, but that's not very useful by itself. What you want is enriched banking data, so now you've got another major project to undertake before you end up with something useful.

Solving the challenges

Working with a partner that's got a long track record is the key to overcoming all these challenges.

Klarna Kosma is unique because we've been connecting to banks since 2005 — and connecting to banks is what underpins open banking. We've got a huge amount of experience. We process hundreds of millions of bank payments each year over open banking. We enable customers to connect their bank accounts and carry out billions of open banking data sessions.

When you start working with Kosma, what do you get from day one? We give you the gateway to the world. We enable you to connect with bank accounts globally, so that you don't have to. Kosma has taken care of all these headaches for you.

Furthermore, our single API gives you a quick and seamless integration, meaning that you can reduce your costs because you don't need an army of engineers to maintain all these costly bank connections.

On top of that, we've built this enrichment layer that gives you the ability to provide insights. We've got an intelligence engine that gives you the categorization, the insights, and helps you generate reports.

All this is something that we've understood ourselves after being around so long. And that's why we put it into play and that's why Kosma is the go-to partner for open banking.

What is Klarna Kosma?

Kosma itself is an open banking provider. You might be interested to learn that we also provide the infrastructure to other open banking providers. Why would we do that? We do it because we have the widest reach in terms of bank connections and we want to enable others to bring wonderful open banking solutions to market. We provide the infrastructure, we've got the experience, we've got the products, and we've got a single API that opens the door for you as a business, a lender, or another open banking provider.